

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINE CORPORATION
Respondent

**SM LINE CORPORATION’S AMENDED RESPONSE IN OPPOSITION TO SAMSUNG
ELECTRONICS AMERICA’S MOTION TO QUASH**

Pursuant to 46 C.F.R. §§502.69 and 502.71, SM Line Corporation ("SM Line"), through undersigned counsel, respectfully submits this amended opposition to Samsung Electronics America, Inc.’s (“SEA”) Motion to Quash Notice of Deposition, or in the Alternative for a Protective Order (“Motion to Quash”). For the reasons set forth below, the Motion to Quash should be denied.

I. The Deposition Notice is Timely and Reasonable Pursuant to the FMC Rules

SEA’s primary argument is that SML Line’s Notice of Deposition of Corporate Designee of Complainant (the “Deposition Notice”) is untimely. To the contrary, the Deposition Notice is timely, reasonable, and SEA is not prejudiced in the slightest. Not only is SEA’s accusation of gamesmanship unfounded and inaccurate, but it is also deeply ironic, because objecting to a previously discussed, properly issued, and entirely expected Notice of Deposition is clear-cut gamesmanship by SEA itself. Further, considering that SEA has been on notice of SM Line’s

intention to depose the corporate designee in question since at least December 20, 2023, and is well aware of the rapidly approaching discovery deadlines in this matter, SEA is not prejudiced by the issuance of the Deposition Notice seven days prior to the deposition date. In fact, it is actually SM Line that faces the risk of severe prejudice if wrongly prevented from deposing a crucial corporate designee prior to the close of fact discovery.

By way of background, on January 10, 2024, SM Line served SEA with the Deposition Notice. See Motion to Quash, Exhibit A. The Deposition Notice informed SEA of a corporate designee deposition¹ to be conducted on January 17, 2024 (“Deposition Date”). As SEA readily admitted in the Motion to Quash, SM Line and SEA previously discussed SM Line’s intention to depose Mr. Rapske, who previously served as the corporate designee in the *Zim Line* case (Docket No. 22-30 *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services Ltd.*) (hereinafter “*SEA v. Zim Line*”). For SEA to now, at the last minute, feign ignorance and surprise regarding the Deposition Notice is a disingenuous, egregious waste of judicial resources.

On January 10, 2024, upon receiving the 143(b)(6) Notice, SEA responded that it has never appointed Michael Rapske as its corporate designee and SEA has right to appoint whomever it wants as its corporate designee. See Jan. 10, 2024 Email, attached as Exhibit C. This response came to the surprise of SM Line because, as discussed above in footnote #1, the Deposition Notice ***did not specify Mr. Rapske***, but rather noticed the deposition of a corporate designee of SEA able to answer the identified questions. Upon receiving SEA’s response, on that *same day*, SM Line sent another 143(b)(6) Notice to SEA asking SEA to identify the appropriate corporate

¹ SEA incorrectly states in the Motion to Quash that the Deposition Notice identified Mr. Rapske as the corporate designee in question. Rather, the Deposition Notice notices the deposition of a corporate designee that SEA’s identifies as able to respond to the topics listed in the Deposition Notice. Mr. Rapske’s name is not included anywhere in the body of the document. While SM Line, for the reasons explained in this Response, believes that designee could likely be Mr. Rapske, SEA is free to identify a different corporate designee if it wishes to do so. However, SEA has refused to identify such an individual.

representative. See Second Dep. Notice, attached hereto as Exhibit D. Instead of simply identifying its corporate designee, SEA responded that the second Notice was untimely and that it planned to move to quash the Notice. If SEA wishes to appoint a corporate designee besides Mr. Rapske, it is, and has been, free to identify such an individual. SEA purposefully chose not to do so earlier in the discovery process, instead choosing to wait until the end of discovery to object on the basis of timeliness. Such “gamesmanship” should not be rewarded.

Section 502.143(b) of the Federal Maritime Commission’s (“FMC”) Rules requires “[a] party who wants to depose a person by oral questions must give reasonable written notice to every other party.” SEA is entirely correct that § 502.143(b) *does not specify* the number of days required for written notice to be “reasonable[.]” Here, the Deposition Notice is reasonable because, *inter alia*, (1) SEA has been on notice of SM Line’s intention to depose a SEA corporate designee since at least December 20, 2023, (2) SEA is well aware that SM Line selected this date based on the Scheduling Order’s current constraints, and (3) the amount of formal notice is not *per se* unreasonable.

A. SEA has been on notice of SM Line’s intention to depose an SEA corporate designee since at least December 20, 2023.

On several occasions prior to the Notice of Deposition, SEA and SM Line discussed SM Line’s intentions regarding corporate designee depositions. As admitted by SEA, counsel for SM Line emailed counsel for SEA on December 20, 2023, stating, “[w]e will provide the 143(b)(6) notice for Michael Rapske soon[.]” See Motion to Quash at 6, Exhibit B at 20. Mr. Rapske previously served as SEA’s corporate designee in the *SEA v. Zim Line* case. The Deposition Notice is reasonable because, *inter alia*, SEA has been on notice that SM Line intended to depose an SEA corporate designee, potentially Mr. Rapske, since at least December 20, 2023. Any argument by SEA that the Deposition Notice is unexpected and therefore SEA lacks time to prepare its witness

is meritless—SEA has had *weeks* to prepare its witness prior to the formal Deposition Notice. Any decision to not prepare its own witness ahead of time is its own and could not possibly amount to prejudice.

B. SEA is well aware that SM Line selected this date based on the Scheduling Order’s constraints.

Fact discovery is scheduled to end on January 19, 2024. *See* Revised Scheduling Order. As described by SEA, the parties have been engaged in a “flurry of discovery” from late December through the first two weeks of January. Through no fault of SM Line, certain fact discovery remains outstanding and must be completed prior to January 19, 2023, unless the Scheduling Order is amended to extend fact discovery as necessary. For considerably longer than seven days, SEA has been on notice of both SM Line’s intention to depose any of SEA’s appropriate corporate representative and the discovery deadline of January 19, 2024. Accordingly, SEA has *no excuse* for failing to prepare their witness prior to the January 19th deadline and the seven-day formal notice period is reasonable.

On January 12, 2024 SM Line filed a Second Motion for Extension of the Scheduling Order. (Doc. No. 43). Should this Court allow the parties an extension to complete fact discovery, SM Line is amenable to altering the Deposition Date to accommodate SEA’s request for additional time. However, as it stands currently, SM Line’s Notice of Deposition is reasonable and should not be quashed.

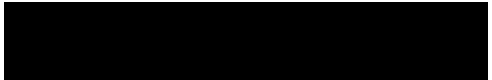
C. The amount of formal notice is reasonable, especially considering SEA has had informal notice since at least December 20, 2023.

Considering the aforementioned reasons, seven days’ formal notice is entirely reasonable. SEA’s concerns regarding the seven days’ notice is merely noise. SEA cites nothing, nor could it, indicating that seven days’ formal notice is *per se* or presumptively unreasonable. To the contrary,

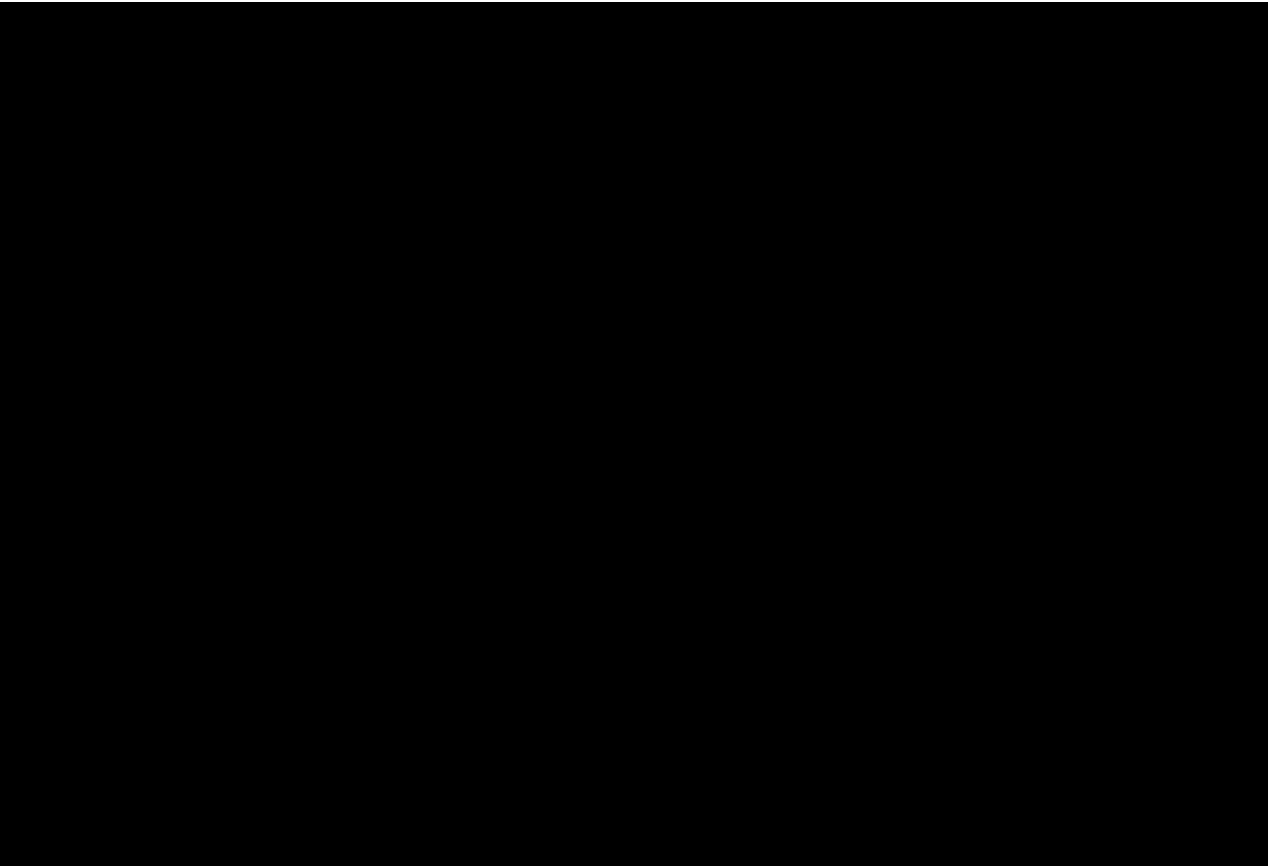
SEA admits only that courts have stated what *is reasonable*, such as, “[f]ederal jurisprudence is unambiguous in that at least ten to fourteen days constitutes reasonable notice of a deposition.” *See* Mot. To Quash at 5. Generally, “more than one week’s notice generally is considered reasonable.” *Charm Floral v. Wald Imports, Ltd.*, No. C10-1550-RSM, 2012 WL 424581, at *2 (W.D. Wash. Feb. 9, 2012) (compiling holdings finding close to one-week notice as reasonable) (“Thus, WIL was given, at minimum, 8 days notice and potentially more notice than that.”); *Jones v. United States*, 720 F. Supp. 355, 366 (S.D.N.Y. 1989) (finding eight-days’ notice reasonable).

SM Line provided SEA with at least one week of formal notice, and informal notice long before then. Other courts have found less than seven-days’ formal notice to be reasonable, when considering the respective facts and circumstances of each case. *See P.S. v. Farm, Inc.*, No. 07-CV-2210-JWL, 2009 WL 483236, at *4 (D. Kan. Feb. 24, 2009) (finding four-days’ notice reasonable); *Federal Aviation Administration v. Landy*, 705 F.2d 624, 634 (2d Cir. 1983) (finding four-days’ notice reasonable).² However, as addressed above, SEA has been on notice for far longer than the formal notice given, and any claims to the contrary are false.

II. SEA is Not Prejudiced by the Scope of the Deposition Notice

SEA’s complaints regarding the scope of the Deposition Notice are meritless. SEA is not prejudiced in the slightest by being required to produce its self-appointed corporate designee. While the Deposition Notice does not specify Mr. Rapske, and SEA is free to designate any corporate designee able to answer the specified questions, 

² Additionally, the Local Rules of several District Courts state that service of notices of depositions seven days in advance of the date set for taking the deposition constitute reasonable notice for the purposes of Fed. R. Civ. P. 30(b). *See* DC R USDCT LCvR 30.1; KS R USDCT Rule 30.1; OK R USDCTED LCvR 30.1; OK R USDCTND LCvR30-1; DE R USBCT LR 7030-1.



Additionally, Mr. Rapske, Vice President, Logistics of SEA, is named as SEA's corporate designee in the *SEA v. Zim Line* case. If SEA would like to appoint a different corporate designee, it is free to do so. As to the topic of the questions themselves, none deviate from those typically expected for the deposition of a corporate designee. Accordingly, SEA has not identified any prejudice it will suffer from the deposition of SEA corporate designee on the Deposition Date.

III. A Protective Order is Inappropriate, Unwarranted, and Extremely Prejudicial to SM Line

There is no good cause for the issuance of a Protective Order to bar the rescheduling of the Notice of Deposition of a corporate witness for another date. To the contrary, SM Line would experience actual and severe prejudice if it is improperly prevented from deposing SEA's corporate designee, despite having issued a proper, timely Notice of Deposition for such designee prior to the close of fact discovery. As discussed above, SEA has been on notice of SM Line's

intention to depose an SEA corporate designee since *at least* December 20, 2023. As to any lack of clarity regarding the identity of SEA’s corporate designee, SEA can identify an individual besides Mr. Rapske. However, in numerous email exchanges between SEA and SM Line regarding depositions of individuals and corporate representatives, SEA has *never* corrected SM Line regarding Mr. Rapske’s appointment as its corporate designee, nor has it ever indicated that it intends to identify a different corporate designee.

SEA’s flagrant attempt to improperly bar SM Line from *ever* deposing an SEA corporate designee cannot be allowed. SM Line issued the expected Notice of Deposition in a timely fashion, prior to the discovery deadline, and there is *no cause*, let alone good cause, to issue a Protective Order. Not only is SEA’s attempt to characterize counsel for SM Line’s email stating, “I really thought I had sent to you/your team earlier. My mistake[,]” as an admission of fault simply incorrect, that email actually evidences the lack of any good cause for a Protective Order—SM Line is clearly committed to working with SEA to complete discovery in a timely, reasonable manner, and has shown no intent to annoy, embarrass, oppress, or unduly burden SEA. Accordingly, a Protective Order is inappropriate and would be highly prejudicial to SM Line.

IV. Conclusion

For the foregoing reasons, the Motion to Quash should be denied.

/s/Wook Chung
Wook Chung
Montgomery McCracken Walker & Rhoads LLP
427 Madison Avenue, 24th Floor
New York, New York 10022
(212) 201-1931 / (212) 867-9500

Dated: January 22, 2024

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 22nd day of January 2024, the foregoing document was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
Presiding Administrative Law Judge
judges@fmc.gov

Complainant
SAMSUNG ELECTRONICS AMERICA, INC.
C/O Holland & Knight LLP

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/s/Wook Chung _____

EXHIBIT A

EXHIBIT B

EXHIBIT C

Archived: Monday, January 22, 2024 4:46:04 PM

From: [Chung, Wook](#)

Mail received time: Wed, 10 Jan 2024 22:09:02

Sent: Wed, 10 Jan 2024 22:08:54

To: [Yoon, Eric \(PHL - X49537\)](#) [Kalogjera-Sackellares, Chiara D \(NYC - X73584\)](#)

Cc: [Nolan, Christopher R \(NYC - X73307, CHI - X66515\)](#) [Morrissey, Gerald A \(WAS - X75497\)](#) [Little, Kristine O \(WAS - X75549\)](#) [Skopec, Allison N \(NYC - X73463\)](#) [Kielland, Kaspar](#) [DeOrchis, Vincent M.](#) [Bonuzzi, Matteo](#) [Holdsmann, Zachary](#) [Murphy, Kathleen M.](#)

Subject: RE: FMC Docket No: 23-01 - SAMSUNG ELECTRONICS AMERICA, INC vs. SM LINE CORPORATION - Fourth Production and Discovery Documents

Importance: Normal

Sensitivity: None

Attachments:

[MMWR_Attorney_01_large_06.png](#); [Notice of Deposition of SEA Corporate Designee.pdf](#);

Dear Eric,

I am writing to follow up on our previous requests for the identification of the corporate representative for SEA. This information was sought in earlier communications, including my email dated December 20, 2023.

In the event that SEA wants to designate a different individual from Michael Rapske, who served as the corporate representative in the SEA v. Zim case, we would like to be informed accordingly and immediately. We are open to SEA's choice of a corporate designee and have no objections to any alternative representative they may wish to produce.

Regards,

Wook

Wook Chung | Partner

Montgomery McCracken Walker & Rhoads LLP

Tel: 212-551-7795 | Fax: 212-599-5085 | wchung@mmwr.com | [Attorney Profile](#)



From: Chung, Wook

Sent: Wednesday, January 10, 2024 12:47 PM

To: Yoon, Eric (PHL - X49537) <Eric.Yoon@hklaw.com>; Kalogjera-Sackellares, Chiara D (NYC - X73584) <Chiara.Sackellares@hklaw.com>

Cc: Nolan, Christopher R (NYC - X73307, CHI - X66515) <chris.nolan@hklaw.com>; Morrissey, Gerald A (WAS - X75497) <Gerald.Morrissey@hklaw.com>; Little, Kristine O (WAS - X75549) <Kristine.Little@hklaw.com>; Skopec, Allison N (NYC - X73463) <Allison.Skopec@hklaw.com>; Kielland, Kaspar <KKielland@mmwr.com>; DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Bonuzzi, Matteo <MBonuzzi@mmwr.com>; Holdsmann, Zachary <ZHoldsmann@mmwr.com>; Murphy, Kathleen M. <KMurphy@mmwr.com>

Subject: RE: FMC Docket No: 23-01 - SAMSUNG ELECTRONICS AMERICA, INC vs. SM LINE CORPORATION - Fourth Production and Discovery Documents

Dear Eric,
I really thought I sent to you/your team earlier. My mistake.
Please find the attached.

Regards,

Wook

EXHIBIT D

BEFORE THE FEDERAL MARITIME COMMISSION

SAMSUNG ELECTRONICS AMERICA, INC.	)	
	)	
Complainant,	)	
	)	
v.	)	DOCKET NO. 23-01
	)	
SM LINE CORPORATION,	)	
	)	
Respondent.	)	
	)	

**RESPONDENT’S NOTICE OF DEPOSITION OF CORPORATE DESIGNEE OF
COMPLAINANT**

PLEASE TAKE NOTICE that pursuant to Rules 142 and 143 of the Federal Maritime Commission’s Rules of Practice and Procedure (the “Rules”), 502.142 and 502.143 (b)(6), Respondent SM Line Corporation (“SM Line”), by and through its attorneys, Montgomery McCracken Walker & Rhoads LLP, will take the deposition by oral examination of Complainant SAMSUNG ELECTRONICS AMERICA, INC.’s corporate representative in the above-captioned matter.

The deposition will take place on the date, time, and location specified below, except as otherwise agreed to by the parties:

LOCATION: **Deposition to be taken virtually using TransPerfect Legal Solutions Inc.**

DATE: **January 17, 2024**

TIME: **9:00 AM EST**

The deposition will commence at the specified time and the examination will continue for up to seven (7) hours, per FMC Rule § 502.143(d)(1) and the Federal Rules of Procedure Rule 30, and continue from day to day until completed. The deposition will be taken by stenographic means

and/or videographic means, before a Notary Public or other person duly authorized to administer oaths and record testimony. This deposition is to be taken for all purposes permitted, including discovery and as evidence for hearing or trial.

You are required to be prepared to testify on the subjects identified in the attached **Schedule A**.

Signed this __10th__ day of January, 2023

MONTGOMERY MCCracken
WALKER & RHOADS LLP

/s/ Wook Chung
Wook Chung, Esq.
437 Madison Avenue, 24th Floor
New York, New York 10022
(212) 867-9500

SCHEDULE A

1. Samsung Electronics America, Inc.'s ("SEA") practices, policies, procedures and decision making in connection with shipping and logistics matters, including but not limited to engaging, hiring, using, as well as reviewing, disputing, paying related charges with respect to U.S. import containers from 2018 to the present.

2. SEA's involvement with inland transportation of containers in the U.S., from 2018 to the present, including arrangements and agreements with respect to contract negotiation with (a) ocean carrier as (b) well as Samsung Electronics Logitech, Samsung SDS Co., Ltd., Samsung SDS America and Samsung SDS Global Asia Pte. Ltd.

3. SEA and its agents or other third party service providers and vendors' respective involvement with importing and performing inland transportation of containers in the U.S., from 2018 to the present, including the dealing with (a) customs clearing, (b) draying and trucking (including SM Line form entitled "Request to Use a Customer Nominated Trucker"), (b) intermodal rail carriers, (c) marine terminals, (d) vendors and service providers (eg. UPS warehouses, or off dock/off terminal storage locations), and (d) customers or their designated agents.

4. SEA's contracts, agreements and arrangements with motor carriers, marine terminals, inland terminals, chassis providers or chassis pools, and rail carriers in connection with the inland transportation of containers in the U.S. from 2018 to the present.

5. SEA's policies, procedures and decision making in connection with reviewing and resolving any operational issues and follow-up actions, whether by SEA or by its agents, third party vendor, service provider, (such as trucker or Samsung SDS America) including but not limited to advising SEA's customer to quickly devan or empty the loaded containers delivered, requesting the extension of free time, waivers or mitigation of demurrage and detention charges to ocean carriers, and disputing charges and obtaining resolution in connection with demurrage and detention charges in connection with import containers in the U.S. from 2018 to the present.

6. SEA's practices, policies, procedures and decision making with respect to payments of charges and invoices in connection with purchasing, importing, selling, and delivering containers in the U.S. from 2018 to the present.

7. SEA's practices, policies, procedures and decision making with respect to dealing with any discrepancies or issues, including but not limited to delays, diversions, incidents, and disputes of related charges and invoices in connection with import containers in the U.S. from 2018 to the present.

8. SEA's sales volumes as well as breakdown of import containers to or in the U.S. from 2018 to the present, in terms of (a) CY moves, (b) inland rail ramp moves, (c) door moves, (d) door moves with house trucking and (e) door moves with customer nominated trucking.

9. SEA's commercial agreements and dealings with the sellers or manufacturers of SEA shipments sold or delivered in the U.S. from 2018 to the present.

10. SEA's commercial agreements and dealings with the customers or any other buyers of SEA shipments sold or delivered in in the U.S. from 2018 to the present.

11. SEA's commercial or operational agreements and dealings with the third-party vendors or contractors in the U.S. from 2018 to the present.

12. SEA's hiring, terminating, and dealing with contract employees, temporary or part time employees handling SEA shipments in the U.S. from 2018 to the present.

13. SEA's organizational structures, especially employees and contractors/part time/temporary employees handling SEA shipment in the U.S. from 2018 to present.

14. SEA's reviewing or approving invoices and payment of charges, including but not limited to pre-pull chares, terminal storage charges, rail storage charges, trucker charges, trucker's yard charges, rehandling charges, diversion charges, as well as demurrage and detention charges on SEA shipments at issue in this proceeding.

15. SEA's financial results, including revenue, operating expenditures and net income including inter-company transfers or financial consolidations involving SEA's business in the U.S. from 2018 to present.

16. SEA's financial results, including revenue, operating expenditures and net income in connection with sales or resales or any other commercial activities in the U.S. from 2018 to the present.

17. SEA's total import volumes, annual sales, revenue, profit, and operating expenses in the U.S. from 2018 to the present.

18. SEA's costs and cost structures in connection with import containers, including but not limited to shipping and logistics costs involving drayage, store-door, and inland transportation, in the U.S. from 2018 to the present.

19. SEA's costs for demurrage and detention in connection with import containers in the U.S. from 2018 to the present.

20. The total amounts and the breakdowns of all costs and charges that SEA is seeking to recover therefrom.

21. Policies and procedures of the SEA affiliates or vendors (including truckers or third-party service providers, namely, UPS, Samsung SDS America Inc., and preferred truckers and customer nominated truckers) for disputes, claims, and resolution of claims in connection with demurrage and detention charges and other charges relating to import containers in the U.S. from 2018 to the present.

22. SEA's policies and procedures regarding SEA's approach to negotiating service contracts and service agreements with sellers, manufacturers, or sellers for the SEA shipments in the U.S. from 2018 to present.

23. SEA's policies and procedures regarding SEA's approach to negotiating service contracts and service agreements with SEA's affiliate, agents, vendors, service provider, and other contractors for the SEA shipments in the U.S. from 2018 to present.

24. The relationship between SEA and its affiliates, including Samsung Electronics Logitech and Samsung SDS, Samsung SDS America, and other affiliate or related entities involved in the SEA shipments in the U.S. from 2018 to present.

25. During the COVID-19 pandemic, any operational changes or disruptions did SEA face.

26. During the COVID-19 pandemic, any organizational and personnel charges occurred at SEA.

27. SEA's organizational relocation from Texas to Santa Ana, California or other similar organizational or operational changes from 2018 to present.

28. SEA's organizational structure and officers and board members, particularly its relationship with the principals, parent company(s), affiliates, subsidiaries, and any related entities.

29. SEA's policies and procedures regarding its overall business decision making processes and any other financial or operational decisions, including but not limited to communication and reporting policies and practices.